IBDP Business Management – SA1 Revision Practice – G11
Mark Scheme

1 Piper Industrial (PI)

Piper Industrial (PI) is a private limited company that manufactures pipe. The company is highly profitable, and its corporate tax rate is 20 %. *PI* is forecasting major capital expenditure for 2019.

Table 1: Selected forecast financial information for the year ending 31 December 2019

Cost of sales	$15 000 000
Expenses	$4 700 000
Gross profit	**X**
Interest	$1 000 000
Profit for the period	$3 440 000
Profit before interest and tax	$5 300 000
Profit before tax	$4 300 000
Sales revenue	$25 000 000
Tax	**Y**

[Adjusted question. Source: © International Baccalaureate Organization 2018 & 2019]

(a) Define the term *capital expenditure*. [2]

Capital expenditure refers to the purchase by a business of long-term assets (assets that have a useful life longer than one year).

*Award **[1]** mark for partial understanding and knowledge and **[2]** for a complete definition as the above (though candidates do not have to use the precise wording above).*

(b) Using Table 1, calculate for *PI*:

(iii) gross profit (X); [1]

(iv) tax (Y). [1]

(i) gross profit (**X**);

Gross profit is $10 000 000. Candidate is not required to show workings.

*Award **[1]** for the correct answer.*

(ii) tax (**Y**).

Tax is $860 000.

*Candidate is not required to show workings. Award **[1]** for the correct answer.*

*If a candidate provides NR or some other answer that appears incorrect but then calculates tax correctly in (c) below, award **[1]**.*

(c) Using Table 1 and your calculations in (b)(i) and (ii), construct a statement of profit and loss for *PI*. **[2]**

	All figures in 000s	
Sales revenue	25 000	
Cost of goods sold	15 000	
Gross profit	10 000	**X**
Expenses	4700	
Net profit before interest and taxes	5300	
Interest	1000	
Net profit before tax	4300	
Tax	860	**Y**
Net profit after interest and tax	3440	

*If the candidate has some idea what a profit and loss account is, award an additional **[1]** mark. If the candidate produces a profit and loss account that is correct and conforms to the IB format (as above), award **[2]**.*
*Maximum award: **[2]**.*

***N.B.** The candidate must follow the IB format. However, be flexible if candidates use slightly different wording, such as "Pre-tax profit" rather than "Net profit before tax," as long as the correct meaning is conveyed.*

(d) Explain two possible sources of finance *PI* could use to finance the capital expenditure for 2019. **[4]**

The question is sufficiently broad to allow candidates to explain a range of possible sources of finance.

Possible external sources include:

- As *PI* is a private limited company, the decision could be taken to raise funds through an initial public offering. *PI* could be "floated or listed" on the appropriate local share market to raise funds.
- Share capital, can raise capital by selling shares privately.
- Loan capital
- Retained profit

Accept any other relevant possible source.

Mark as 2 + 2.

- For an identification or a description of one possible source of external finance with or without application [1].
- For explanation of one source with no application [1].
- For explanation of one source and application [2].

2 Vinn

Vinn is an American public limited company in secondary sector. It mass-produces jeans sold worldwide. Twelve years ago, production was offshored to China and Turkey to reduce manufacturing costs. To benefit from economies of scale, *Vinn* sells standardized regular-fit jeans. *Vinn* uses an identical marketing mix globally.

(a) Define *secondary sector*. [2]

This sector includes both construction and manufacturing. It uses resources from the primary sector to manufacture finished goods or process raw materials to be used for other secondary sector business. The secondary sector supports both the primary and tertiary sector.

Award [1] for some understanding.

Award [2] for a clear definition.

Providing examples of secondary sector business alone is insufficient to receive marks. However, exemplification can strengthen a definition and be a basis for a second mark (if the definition was not fully complete).

(b) Define *economies of scale*. [2]

Economies of scale are the factors that cause a reduction in average costs / cost per unit as the organization increases the scale of production.

Award [1] *if the candidate refers just to the growth of an organization rather than to the scale of production.*
Candidates are not expected to word their definition exactly as above.
Award [1] *for a basic definition that conveys partial knowledge and understanding.*
Award [2] *for a full, clear definition that conveys knowledge and understanding similar to the answer above.*
For only a relevant example or application to the stimulus ***award [1].***

Despite the global popularity of American jeans, *Vinn* has experienced a significant fall in demand due to:

- customer complaints about poor quality jeans
- economic recessions in *Vinn*'s main markets. However, economic forecasts expect improvements within two years
- increased global competition of mass-produced clothes
- anti-globalization pressure groups. For example, a local pressure group, "B-Local", has criticized *Vinn*'s undifferentiated advertising campaigns as inappropriate for all international markets and cultures.

In addition, *Vinn*'s management is worried about labour costs in China rising faster than the United States (US). It also has communication problems with its offshored employees.

Vinn's management decided to re-shore back to the US and completely change its strategic focus. Recent market research has revealed a niche market: some customers in North America are willing to pay high prices for individually designed and produced jeans. To create a new competitive advantage, *Vinn* will aim for different market positioning by using highly skilled, creative fashion designers located in major American cities. Cost-effective production of individually designed jeans requires specialized technology currently available in the US. *Vinn* will no longer mass-produce jeans.

(c) Identify one internal stakeholder and one external stakeholder of *Vinn*. [2]

Internal stakeholders: Owners/shareholders/managers/employees
External stakeholders: Customers/pressure groups/competitors/…

(d) Explain two possible economies of scale from which *Vinn* may have benefitted. [4]

- Purchasing economies of scale. Bulk buying of her raw materials such as the material for jeans, stitching and sowing needles. Unit costs may fall.
- Technical economies of scale through the purchase of machines to help produce jeans in larger quantities. Over the long run, unit costs will fall as the scale of production increases.
- Given rising demand, marketing economies of scale are possible as unit costs per jean falls as advertising costs may be constant over a larger range of output.

Accept any other relevant answer.

Mark 1 + 1.
Award [1] for a relevant economy of scale explained and [1] for appropriate application to Vinn to a maximum of [2].
***N.B** As there is limited stimulus information application must necessarily be in the form of reference to jeans, tailoring machinery or tailoring supplies. Do not reward generic references simply to 'machinery or supplies'.*

3 Willow Enterprises (WE)

Willow Enterprises (WE) was founded in 1989 originally as a small manufacturer of carpeting for high-end commercial and institutional office space. In 1997 the management made several strategic decisions:

- change from the use of cheap man-made materials to more expensive natural fibers in its carpets
- change legal status from a private to a public limited company
- use profits to increase production capacity and expand the sales force
- diversify by taking over other regional businesses, including a retail chain, and transform them into environmentally friendly businesses.

(a) Explain one advantage and one disadvantage of *WE* changing its legal status to a public limited company. [4]

Advantages of changing legal status to a public limited company include:
- Access to greater sources of finance, either debt or equity, which *WE* may well want given its plan to grow externally through acquisition.
- Greater prestige and name recognition, which may help *WE* as it approaches and acquires additional business.

Disadvantages of changing legal status to a public limited company include:
- The initial and ongoing cost of being a public company, which requires extensive paperwork and filings with the government, as well as regular communication with shareholders. As *WE* is struggling to maintain margins, having additional expenses may further contribute to lower profitability.
- Public disclosure to shareholders and media prevent *WE* from being more private in how it operates. Greater privacy with respect to strategy and direction could help *WE* more easily implement its strategies.

Accept any other relevant advantage or disadvantage.

*Mark as **2 + 2**.*

*For **[2]**, candidates must identify an advantage or disadvantage, explain it, and apply it to the stimulus.*

Because of its appeal to environmentally conscious customers, *WE* became the regional market leader and, by 2008, was an important carpet manufacturer at a national level.

At this time, Chief Executive Officer Simon Dee decided that *WE* would adopt a far-reaching programme of corporate social responsibility (CSR). Every year, WE committed more resources to various forms of corporate social responsibility (CSR), such as charitable contributions and fair payments to employees and suppliers. By 2018, *WE* had diverse revenue streams and a brand identity strongly associated with corporate social responsibility (CSR).

(b) Define the term *revenue streams*. **[2]**

Revenue streams refer to the different sources of sales revenue that a firm may have. Often, as firms grow, they attempt to diversify revenue streams as a way to find sales growth in saturated markets or as a way to offset risk (if sales revenue from one revenue stream declines, perhaps it can be offset by sales growth in another revenue stream).

*Award **[1]** for a partial answer that conveys some understanding and **[2]** for a complete response that shows full understanding. Candidates do not have to word exactly as above. Simple exemplification is insufficient for a second mark. There must be some definition or description.*

For the last few years, *WE's* gross and net profit margins have been falling slightly but steadily. Simon has attributed the declining profitability to diseconomies of scale and one-off (one-time) expenses associated with each takeover. The Chief Financial Officer, Ruth Croft, disagreed. She gave Simon a copy of a 1970 article by the economist Milton Friedman entitled "The Social Responsibility of Business is to increase its Profits".

[Source: © International Baccalaureate Organization 2019]

(c) With reference to *WE*, distinguish between internal and external growth. **[4]**

Internal growth occurs when a business increases sales revenue through expansion of current operations, typically by building more capacity, hiring more sales people, or having more channels of distribution. *WE*'s growth, up until it decided on a programme of external growth, was always internal and in the carpet industry.

External growth occurs when business grows through some activity related to another business external to the original one. When *WE* decided to purchase additional companies, it was acquiring revenue streams and operations from other firms, which allowed for rapid growth.

Accept any other relevant advantage or disadvantage.

Mark as 2 + 2.

*For **[2]**, candidates must identify an advantage or disadvantage, explain it, and apply it to the stimulus.*

(d) Discuss whether *WE* should retain its programme of corporate social responsibility (CSR). [10]

Much debate exists around the question of CSR. Some companies advocate it, arguing that CSR is a way to balance corporate power with corporate responsibility despite the fact that having a programme of CSR increases costs in the short term and that there is no certainty that it will enhance business performance in the long run (though a slight positive correlation appears to exist).

Others argue that a company's only responsibility, other than obeying the law, is increasing profits for shareholders. CSR makes a company less efficient. If all businesses in an economy are operating at less than optimal efficiency, the economy as a whole will suffer (just as each individual business will).

In the case of *WE*, the question of CSR is complicated. On the one hand, the brand identity of *WE* was built first on ecological sustainability and, later, on a full programme of CSR (thus economic and social sustainability as well). To suddenly change focus and adopt a totally profit-oriented mentality, as Milton Friedman argues, could hurt *WE*'s brand identity in the marketplace.

On the other hand, *WE* has experienced a steady erosion in margins (and, thus, profitability). Were the company to continue to allow this to occur, in the long run, *WE* would put itself at risk. Some disagreement internally exists, with the CEO believing the issue is the costs of expansion while the CFO has suggested that it is the costs of CSR.

WE should undertake a full marketing audit to determine the impact of CSR on its brand identity, as well as a thorough financial and managerial costing analysis to determine the true source of declining profitability. Without that investigation, *WE* will have difficulty knowing whether it should continue with CSR.

For a balanced argument, a candidate must have two arguments for and two arguments against CSR. At least one of the arguments for and against can be purely theoretical, while at least one argument for and one argument against must be based upon application to the stimulus. If the candidate does not make judgments on conclusions, maximum award: **[6]**.

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Maximum mark award	Retain CSR program	End CSR program	Judgements/conclusion
3	One argument related to the retaining or ending the program of CSR.		N/A
4	Two arguments related to retaining or two arguments related to ending the program of CSR. OR One argument related to retaining the program and one argument related to ending the program of CSR		N/A
5	Two arguments for one side (retaining or ending the Program of CSR) and one argument for the other side.		N/A
6	Two arguments for both sides		No judgements/conclusions
7–8	Balanced		Judgements/conclusions based upon analysis and explanation in the body of the response Relevant business management tools (where applicable), techniques and theories are explained and applied well, and appropriate terminology is used. Good reference to the stimulus material.
9–10	One argument related to the ethics or the financial implications		Judgements/conclusions based upon analysis and explanation in the body of the response. Relevant business management tools (where applicable), techniques and theories are explained clearly and applied purposefully, and appropriate terminology is used throughout the response. Effective use of the stimulus material in a way that significantly strengthens the response.

Award marks according to the markbands on page 5.

The markbands on page 5 should be used where indicated in the markscheme.

Marks	Level descriptor
0	The work does not reach a standard described by the descriptor.
1–2	• Little understanding of the demands of the question. • Little use of business management tools and theories; any tools and theories that are used are irrelevant or used inaccurately. • Little or no reference to the stimulus material. • No arguments are made.
3–4	• Some understanding of the demands of the question. • Some use of business management tools and theories, but these are mostly lacking in accuracy and relevance. • Superficial use of information from the stimulus material, often not going beyond the name of the person(s) or name of the organization. • Any arguments made are mostly unsubstantiated.
5–6	• The response indicates an understanding of the demands of the question, but these demands are only partially addressed. • Some relevant and accurate use of business management tools and theories. • Some relevant use of information from the stimulus material that goes beyond the name of the person(s) or name of the organization but does not effectively support the argument. • Arguments are substantiated but are mostly one-sided.
7–8	• Mostly addresses the demands of the question. • Mostly relevant and accurate use of business management tools and theories. • Information from the stimulus material is generally used to support the argument, although there is some lack of clarity or relevance in some places. • Arguments are substantiated and have some balance.
9–10	• Clear focus on addressing the demands of the question. • Relevant and accurate use of business management tools and theories. • Relevant information from the stimulus material is integrated effectively to support the argument. • Arguments are substantiated and balanced, with an explanation of the limitations of the case study or stimulus material.